

PROJECT 3 | CONSULTING | MARKET ENTRY | UNIT ECONOMICS | PYTHON + EXCEL

Starbucks Northern Mexico Market-Entry Strategy

A staged 30-store expansion case across Monterrey, Tijuana, Saltillo, Chihuahua and Hermosillo.

The recommended answer is a staged pilot: anchor Monterrey and Tijuana, use Saltillo as an adjacency, and gate Chihuahua and Hermosillo expansion on real store economics.

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Deliverables

Excel model, executed Python notebook, source data, slide deck and written report

Disclaimer: This is an independent educational project. Reported figures are attributed to official sources; assumptions are explicitly identified. It is not investment advice and is not endorsed by any company named.

Executive summary

Monterrey	Tijuana	30 stores	Gate after 12m
PRIORITY 1 10 stores	PRIORITY 2 8 stores	PORTFOLIO 10 per year, Years 1-3	DECISION RULE Sales, margin, cannibalization

Recommendation

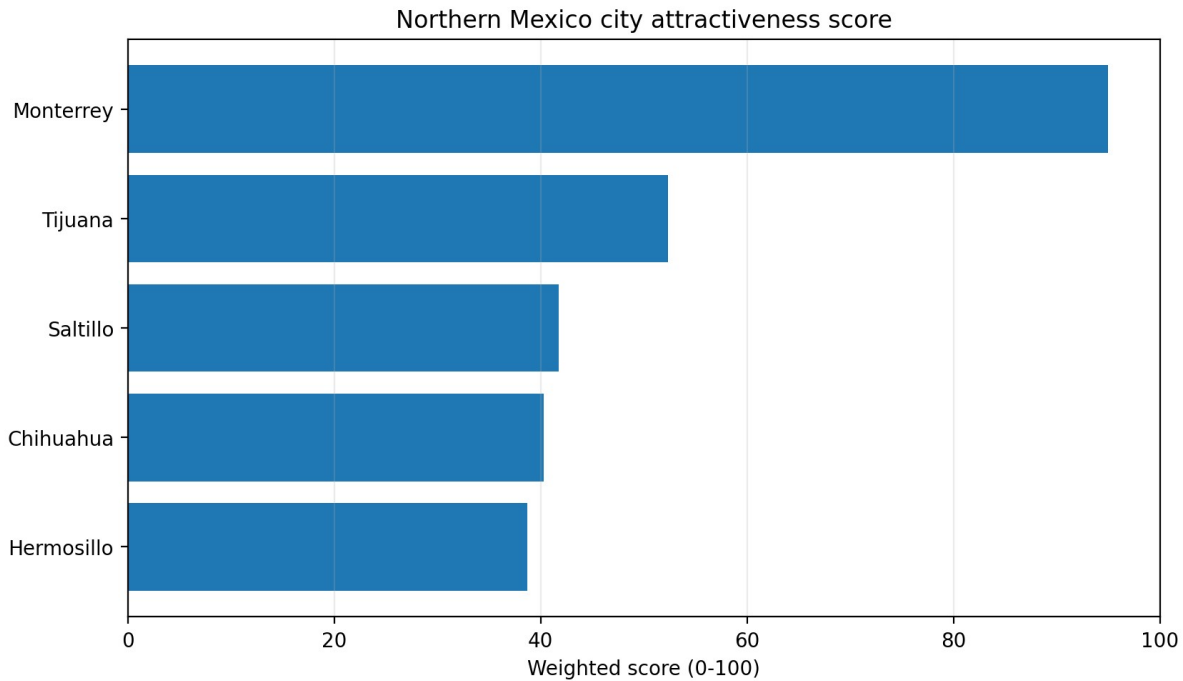
Proceed with a staged pilot, not an unconditional rollout. A city ranking identifies where to test; pre-agreed operating gates determine whether to continue.

Base economics

Metric	Base output	Interpretation
Mature revenue per store	MXN 19.6m	135 ticket x 420 daily transactions x 360 days, after cannibalization
Mature cash contribution	MXN 2.6m	Store EBITDA less tax proxy and maintenance capex
Five-year NPV	MXN -52.1m	Excludes continuing value; capex is front-loaded
NPV incl. terminal value	MXN 480.2m	Highly sensitive to store life and terminal assumptions

Market context and city prioritization

Starbucks Mexico announced its 900th store in March 2025 and has discussed reaching 1,000 stores. The case focuses on incremental northern growth rather than national white space.



Attractiveness score using sourced population/GDP data and explicit commercial assumptions.

Factor	Weight	Data status
Metro population	35%	Sourced, 2020
State GDP share	20%	Sourced, 2024
Premium-income index	20%	Modeled assumption
Saturation headroom	15%	Modeled assumption
Strategic fit	10%	Modeled assumption

Monterrey scores 95.0 and is the clear anchor. Tijuana ranks second at 52.4. Site-level economics can still override city averages.

Rollout design and stage gates

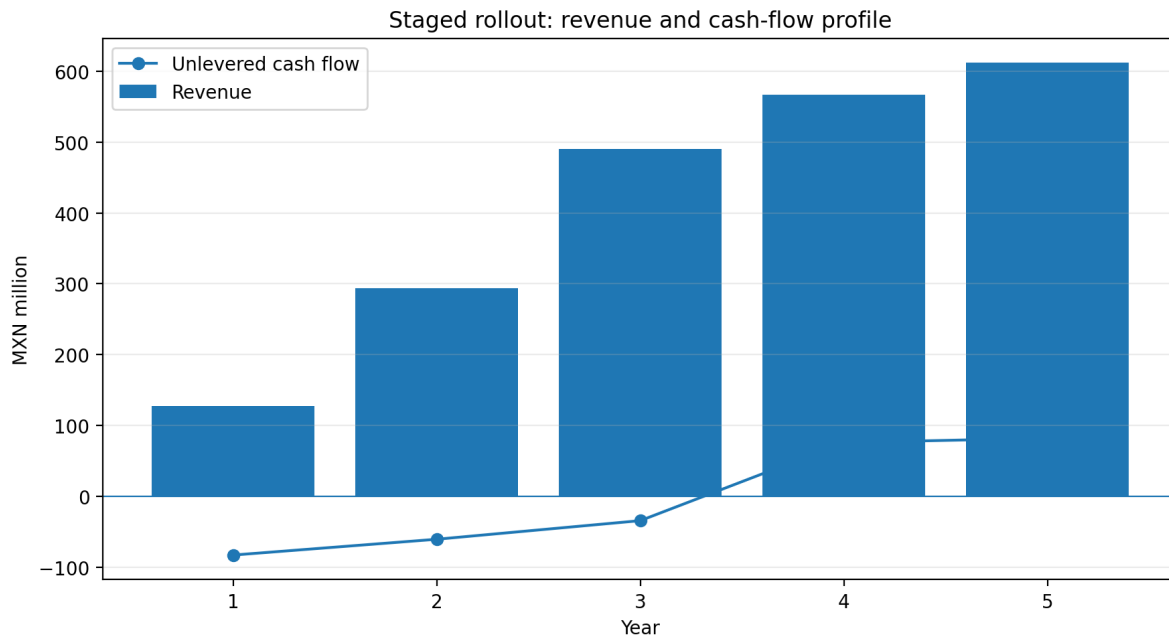
City	Year 1	Year 2	Year 3	Total
Monterrey	4	3	3	10
Tijuana	3	3	2	8
Saltillo	1	2	2	5
Chihuahua	1	1	2	4
Hermosillo	1	1	1	3
Total	10	10	10	30

Pre-agreed gates

- Sales after 12 months: at least 90% of modeled ramp.
- Store EBITDA margin after 12 months: at least 18%.
- Cannibalization within the operating cluster: no more than 8%.
- Validated site pipeline: two credible sites for every planned opening.
- Miss a gate: pause, redesign or stop rather than defending sunk costs.

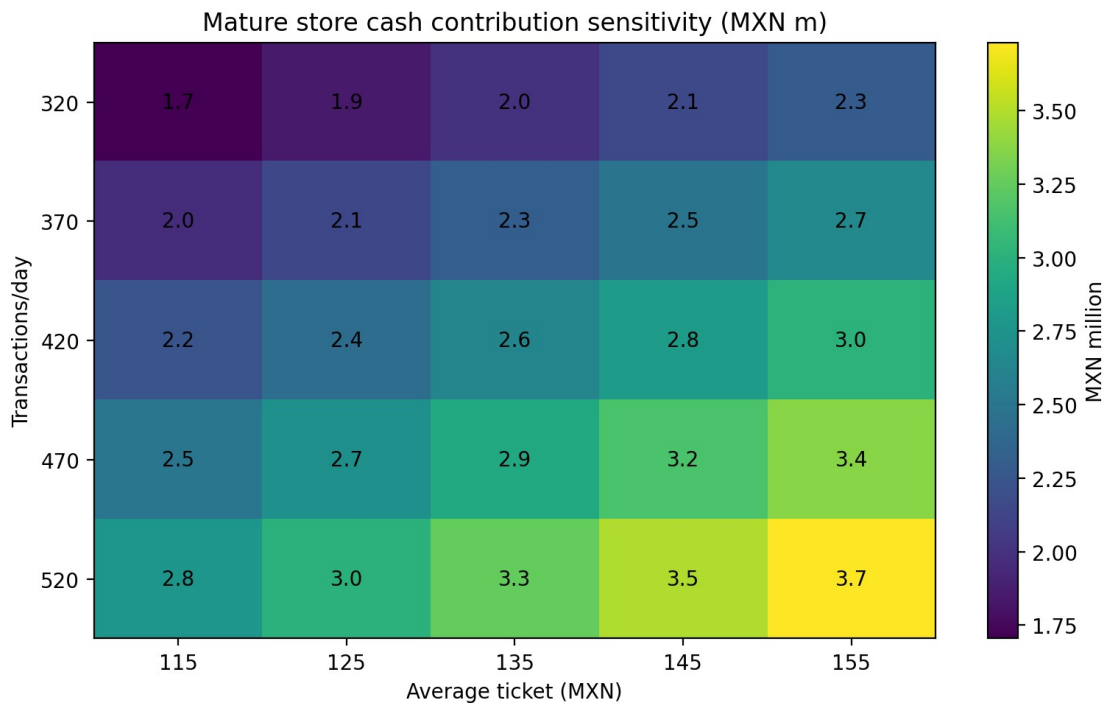
The rollout is intentionally sequenced to maximize learning and management density. It is not a forecast of Starbucks Mexico openings.

Unit economics and sensitivity



Revenue and unlevered cash-flow profile for the staged 30-store rollout.

Base assumptions include a 22% store EBITDA margin, MXN10m opening capex, 4% cannibalization, 2% maintenance capex/revenue, 30% cash tax proxy and a 12% discount rate.



Mature annual cash contribution per store across ticket and traffic scenarios.

Risks, interview narrative and sources

Risk	Mitigation
Site-level saturation	Map stores and trade areas before lease signing
Cannibalization	Use cluster holdouts and an 8% gate
Rent / wage inflation	Site hurdle rates and variable-rent negotiation
Traffic below plan	Smaller pilots, drive-through, delivery and digital acquisition
Execution complexity	Sequence clusters and build local management density
Input-cost volatility	Menu architecture and procurement scenarios

Thirty-second interview pitch

“I built a northern Mexico expansion case for Starbucks. The city score prioritized Monterrey and Tijuana, but I did not treat the ranking as the decision. I modeled store economics, found a long payback profile, and recommended a staged pilot with pre-agreed sales, margin and cannibalization gates.”

Sources

Mexico metropolitan framework: Rounded 2020 metro populations

<https://www.gob.mx/conapo/documentos/las-metropolis-de-mexico-2020>

INEGI PIBE 2024: State shares of national GDP

https://www.inegi.org.mx/contenidos/saladeprensa/boletines/2025/pibent/PIBE2024_RR.pdf

Alsea FY2025 results: Mexico sales and operating context

https://www.alsea.net/uploads/en/documents/reports_quarterly/4_25_results.pdf

Starbucks Mexico 900-store milestone: 900 stores reached in March 2025

<https://www.starbucks.com.mx/articulo/starbucks-expande-su-presencia-en-mexico>

Starbucks Mexico 1,000-store ambition: Public growth ambition and market context

<https://www.starbucks.com.mx/articulo/starbucks-mexico-preve-alcanzar-las-1000-tiendas-consolidandose-como>